Calderwood Partners LLC

www.calderwoodpartners.com

May 8, 2008

Linda Gallegos
Chief Financial Officer
Hughes Group

Dear Ms. Gallegos:

This letter records the terms on which our firm will advise Hughes Group on the redesign of its operating model, and it takes effect as our agreement at the point you countersign the enclosed copy and return it to me. I have set the terms out at some length and in plain language, in the belief that an engagement of this kind proceeds more surely when both parties have read the same description of it before any work begins, and that the few hours spent reconciling expectations at the outset are repaid many times over across the months that follow. I would ask you to read what follows against your own understanding of the assignment, and to tell me, before you sign, of any point on which the two do not agree.

The Assignment and How We Will Approach It

The assignment is a redesign of the operating model through which Hughes Group organizes its principal activities, and its object is a model that assigns work, decision rights, and accountability more deliberately than the present arrangement allows. We will begin by establishing a faithful picture of how the organization runs today, tracing the flow of the core processes, the points at which decisions are actually made, and the places where responsibility for a result is divided in ways that slow the work or leave no one plainly answerable for it. From that baseline we will develop and test options for a revised model, weigh each against the operational and financial consequences we can defend, and work with your leadership toward a design that your own people are able to operate once we have gone. We will describe the trade-offs plainly, including those that a preferred option asks you to accept, rather than present a single answer as though it carried no cost.

It is worth being equally clear about what this engagement is not. It is an operating-model redesign informed by the financial picture, not a valuation, an audit, or a program of implementation; and while we will plan the transition and equip your team to manage it, the execution of the redesigned model will remain yours to lead unless we later agree, in writing, to a separate engagement covering that work.

Should the scope of the assignment change materially once we are underway, whether at your request or by what the analysis brings to light, we will describe the change and settle its terms with you before we act on it, so that nothing is added to the work without your assent.

The People Who Will Do the Work

Jason Torres, a principal of the firm, will hold the relationship with you and will carry responsibility for the conduct of the engagement and for what we deliver under it; he is the person to whom you should bring any question of scope, pace, or emphasis, and the person who will answer for our work. Brenda Rodriguez, a senior consultant, will lead the analysis on which the redesign rests, and will be responsible for ensuring that the operating and cost picture we present can be defended against a hard question. You will work with a small and consistent team, and the people whose names stand on our analysis will be the people who have done it.

Fees and Payment

Our fee for this engagement is fixed, and it is stated on the signature page that accompanies this letter and forms part of our agreement; I have deliberately kept the figure out of the body of the letter so that the commercial terms are settled in one place and executed by those authorized to do so. The fee covers the work described above together with the ordinary meetings, correspondence, and interim materials that go with it, and it does not extend to work we may later agree to add, such as the implementation of the redesigned model, which we would scope and price separately before beginning. We will invoice against the fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date.

Term and Termination

The engagement will commence on May 18, 2008 and is planned to run for approximately eight months, that being the period over which we have scoped the analysis and the design work, though I will tell you early if the assignment proves to need more time or less. Either party may bring the engagement to an end on reasonable written notice to the other. Should you elect to end it, you will owe our fee earned to the date of termination together with any costs properly incurred to that point, and nothing beyond; should we do so, which we would undertake only for a reason our professional standards require, we will refund any portion of the fee that relates to work not yet performed and will assist an orderly handover of the assignment.

Confidentiality

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the purpose of the work you have retained us to perform. We ask the same of Hughes Group with respect to the methods, analyses, and materials we bring to the assignment. These obligations will survive the completion or termination of the engagement, and neither party will disclose the other's confidential information except where the law or a proper regulatory authority compels it, and then only to the extent compelled and, where practicable, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill that our profession expects, and our advice will represent our considered professional judgment on the information available to us. We do not, however, warrant a particular commercial outcome, since the results of an operating-model redesign depend in large part on decisions and actions that lie with your organization rather than with ours. Our aggregate liability to you arising out of or in connection with this engagement will be limited to the amount of the fee actually paid to us under it, save where the law does not permit such a limit, and neither party will be liable to the other for indirect or consequential loss.

Governing Law

This letter, together with the signature page that accompanies it, constitutes the entire agreement between us in respect of this engagement and supersedes any prior discussion or understanding, and it may be varied only by a writing signed by both parties. It will be governed by, and construed in accordance with, the law of the state in which our firm maintains its principal office, and each of us submits to the jurisdiction of the courts of that state in respect of any dispute arising under it.

If the terms set out above reflect our agreement, I would ask you to sign and date the enclosed copy of this letter, together with the signature page, and return both to me; upon receipt we will confirm the commencement and begin the work. If any part of it warrants discussion first, tell me and I will make the time this week to talk it through before you sign.

Sincerely,

Fixed professional fee, as executed: $40,500

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Julie Ramsey
Managing Principal
Date: May 8, 2008

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Linda Gallegos
Chief Financial Officer, Hughes Group
Date: May 8, 2008